Weekly swing book — rules spec sheet

Model **weekly-swing-0094-rank-p2exit** · the LIVE book of record · generated for manual TradingView review · 2026-07-16

Read this first. Every rule below is transcribed from the engine as it runs today. The trades in **tv_review_80.csv** were produced by exactly these rules and nothing else. If a chart looks wrong to you, one of these rules is the reason — the job is to find which. Rules that *sound* right but are not implemented are listed in §7 (already tested and killed), so please check there before proposing one.

1 · The book

Item	Value
Universe	NSE equities, point-in-time index membership (a name is only tradable on dates it was actually a member — no survivor look-ahead in the membership test)
Period	2017-01-01 to the data cutoff
Starting capital	Rs 10,00,000
Risk per trade	2.0% of sizing equity
Position cap	**None.** Size is whatever 2% risk implies (median ~14% of equity per name)
Costs	STT 0.1% per leg + an ADV-based impact/slippage model on every leg
Result of record	Sharpe **1.0342** · **168** trades (this CSV samples 151 of them after split-cleaning)

2 · Entry signal — weekly bars, all four must be true in the SAME week

Weeks are ISO weeks. **SMA44** = 44-week simple moving average of the weekly close. Everything is trailing-only (no future data).

#	Rule	Exactly
1	Trend is rising	SMA44[k] / SMA44[k–13] – 1 ≥ **0.03** (i.e. the 44w SMA is up at least 3% over 13 weeks). This is a low bar — a barely-rising line passes.
2	Green candle, closing strong	close > open **AND** (close – low) ≥ 0.50 × (high – low), i.e. the close is in the **upper half** of the week's range.
3	Touch of the 44w SMA	low ≤ SMA44 × **1.07** (the week dipped to within 7% above the line) **AND** close > SMA44 (it closed back above it).
4	Relative strength	RS > SMA40(RS), where RS = weekly close ÷ Nifty-50 close. The stock is outperforming its own 40-week average RS.

Known weakness in rule 3 (already identified, not yet fixed). The touch test cannot tell a genuine *pullback* (price above the line, dips to it, bounces) from a *recovery through* the line from below (price under the line for weeks, one big candle crosses up). Both satisfy it, and because the 44w SMA lags, rule 1 still reads “rising” after weeks of price below it. This is the ZFCVINDIA / RCF case you found.

3 · Fill — the week AFTER the signal

Step	Rule
Window	The signal week's **low** and **high** define a price band. We look at each daily bar of the following week.
Trigger	Fill at the **first daily OPEN that falls inside [signal-week low, signal-week high]**. The fill price is that open.
No fill	If no daily open lands inside the band all week, the signal **expires unfilled** — no trade.
Who gets the cash	When several signals compete for limited cash, candidates are attempted in **descending CRS distance** (CRS = RS ÷ SMA40(RS) – 1, measured at the signal week). Strongest first. If cash runs out, the rest are skipped.

Note: this is *not* a buy-stop. We do not wait for the price to trade through the signal week's high. That variant was tested (pre-reg 0088) and lost badly, because entering at the high while the stop sits at the low makes the whole candle the risk.

4 · Stop and size

Item	Rule
Stop level	The **signal week's LOW**. Fixed for the life of the trade (it never moves down; see the trail in §5).
R	1R = entry – stop. Median across the book is **14.2% of the entry price**.
Shares	equity × 2% ÷ (entry – stop). Wider stop ⇒ smaller position.

Item	Rule
Consequence	Notional per name = 2% ÷ R%. At the median R of 14.2%, one name is ~14% of the book, so ~7 names fit.

5 · Exits — the P2 rule set

This is the single most important thing to understand while reviewing charts. Every exit below is **decided at the weekly CLOSE (Friday) and filled at the NEXT MONDAY'S OPEN.** There is **no live stop order in the market.** Price can trade far below the stop level mid-week and we do not exit — we exit Monday, at whatever Monday opens at.

#	Exit	Trigger (checked Friday) — fills Monday open
1	Stop	Weekly close ≤ stop. *Not* the intraweek low — the CLOSE.
2	Half at 2R	Weekly close ≥ entry + 2R ⇒ sell **50%** of the position (once). The rest runs.
3	20-DAY SMA trail	**Only after the 2R half has booked.** trail = max(trail, SMA20-day × 0.96); exit the rest when the weekly close < trail.
4	Blow-off bar	Armed once MFE ≥ **2.5R**. Exit if the week makes a **new high** but **closes in its lower third** (long upper wick = exhaustion).
5	20-WEEK SMA trail	Armed once MFE ≥ **2R**. Exit if the weekly close < SMA20-week × 0.96.
6	Time backstop	**52 weeks** held. (There is no 13-week cap — it was removed.)

Why losses run past –1R

Because of the Friday-decide / Monday-fill rule above, a –1R stop is a **trigger, not a fill**. Roughly **87%** of the excess loss is price drifting below the stop level *during* the week before Friday; only ~13% is the Monday gap. With a median R of 14%, a –2R exit is a –**28% move**. KAYNES booked –2.03R this way; a real standing stop order would have filled near –1R. **The backtest is pessimistic here, not optimistic.** A real hard stop was tested (§7) and it made the drawdown worse, not better.

6 · The trade list (tv_review_80.csv)

Three **random** samples — deliberately not the extremes, so you see the typical case. Buckets can overlap (most stops are losses).

Bucket	n	Definition	mean %move	meanR	mean MFE
LOSS_RANDOM	30	R < 0	-18.8%	-1.18	+12.2%
STOPPED_RANDOM	30	exited via the stop	-17.7%	-1.19	+10.9%
GOOD_RANDOM	20	R ≥ 2	+49.5%	+2.89	+61.1%

Column	Meaning
signal_week	The **decision bar** — the weekly candle that fired the signal. Put your cursor here first; this is the candle the rules judged.
sig_ctl_pct	(close – low) ÷ close of the signal week, %. **This IS R.**
sig_body_frac	body (close – open) ÷ range (high – low) of the signal week. 1.0 = no wicks.
sig_range_pct	(high – low) ÷ low of the signal week, %.
entry_date / entry	The daily open we actually filled at.
stop	Signal-week low. **Never sent to the market** — checked Fridays only.
risk_pct	(entry – stop) ÷ entry, %.
ext_vs_sma	How far the entry price sat above the 44w SMA, %. **Negative = we filled BELOW the line** (the KENNAMET / NAVA case).
crs_rank	CRS distance at the signal week — the queue position for cash.
exit_date / exit_px	Monday open we exited at.
pct_move	(exit ÷ entry – 1), %. **What the eye sees on the chart.**
R	pct_move expressed in R. Beware: R is a ratio — a big R on a tight stop is a small move.
mfe_pct / mae_pct	Best / worst excursion vs entry while the trade was open, %.
reason	Which §5 rule closed it.

7 · Already tested and KILLED — please do not re-propose these

Each of these was implemented, frozen, run against the 2022-26 slice, and lost. The baseline to beat is **1.29**; buying trades **at random** from the signal pool scores **0.74**.

Idea	Result	Why it failed
Buy-stop entry (wait for the signal high)	0.22 (pre-reg 0088)	Entry at the high + stop at the low = the whole candle is risk (12.8% vs 7%), which halves the size.
A real hard stop order (live, intraweek)	worse DD	Caps every loss at –1R and the drawdown still got worse — the tight exit cut trades that would have recovered.
Cap R at 5% (raise the stop)	0.64 · DD –54.5%	Forces notional to 2%/5% = 40% of the book per name. Concentration, not protection.
Cap capital at 20% per name	0.64	The book's natural size is already ~14%. A 20% cap can only bind *upward* — it concentrated the book.
2R / 3R fixed targets, no runners	0.50–0.82	Cuts the fat tail. The right tail IS the entire return; 90% of each position capped at 3R kills it.
Only small candles (≤5%, solid body)	0.37	Candle size doesn't predict the average return (ρ=–0.02) but it strongly predicts the **excursion** (ρ=+0.11; MFE 15% vs 27%). Small candles win more often (60%) and go nowhere. **R and reward are the same variable.**
RSI-oversold filter	killed 3×	The indicator *subtracts* from the dip setup.
Grade-A only (top-5 CRS/week)	1.17 vs 1.29	A defensive variant, not a return edge.
The whole indicator zoo at this horizon	IC ≈ 0	RSI / MACD / Stochastic / Williams / CCI / Bollinger / MFI / OBV all have no rank information here.

8 · Data caveats — real, and they will show up on your charts

Issue	Status
Unadjusted splits	**Known bug.** The price file has ~19 unadjusted splits, so a 1:4 split reads as a –75% loss (the CGCL case you caught: entry 763.65 vs TradingView ~190). **Trades spanning a detected split are EXCLUDED from this CSV.** If a chart still looks like an impossible cliff, it is likely one we failed to detect — flag it.

Issue	Status
Survivor bias	The pinned price file is survivor-only (103 of 813 point-in-time members are missing). A backfill recovering all 103 exists but is not yet the pin — re-anchoring it is a governance decision. Measured effect: it makes results look **better** than reality, and it scales with holding period.
Prices are NSE, unadjusted for dividends	Expect small cosmetic gaps vs TradingView.

9 · What would actually be useful to find

Four independent tests have now said the losers do **not** fail for a findable entry reason (prior forensic; ML AUC 0.536; a blind vision review found no grade gap; a learned ranker scored AUC 0.472, worse than random). So the highest-value thing you can find is **not** “this trade looks bad” — it is one of these:

Look for	Why it matters
A trade that **should not exist** under §2	A rule is mis-implemented — that is a bug, and bugs are free wins. (Your ZFCVINDIA / RCF catch was exactly this.)
A price that **disagrees with TradingView**	A data bug, like CGCL. Also a free win, and it affects the live cron, not just the backtest.
A **fill** you could not have got in real life	Execution realism. Check entry_date's open against the chart.
A winner we **exited too early**	The right tail is the entire edge, so leaks here are worth more than any loss we could have avoided.
A **setup shape** we have no rule for	Genuinely new information. Note what the chart looks like, not which indicator you'd add — the indicators are all dead (§7).